1. Award: **0.58 points**

Which of the following statements accurately describes depreciation?

1. Depreciation is the process of allocating the cost of the asset over periods benefited.
2. Depreciation is used to track the fair value of the asset.
3. The book value of an asset is its original cost less accumulated depreciation.

- 1 and 2.
- → 1 and 3.
- 2 and 3.
- All of the other choices are correct.

The process of allocating the cost of plant and equipment over the periods they are used to produce revenues is known as depreciation.

References

Multiple Choice	Learning Objective: 11-01 Explain the concept of cost allocation as it pertains to property, plant, and equipment and intangible assets.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

2.

Award: **0.58 points**

Which of the following statements accurately describes *depreciable base* (or allocation base)?

- The original cost of an asset minus its estimated amount of depreciation over its service life.
- The estimated amount the company expects to receive for an asset at the end of its service life.
- The original cost of an asset.
- → The original cost of an asset minus its estimated residual value at the end of its service life.

The depreciable base (or allocation base) is the amount of cost to be allocated over an asset's service life. The amount is the difference between the asset's capitalized cost at the date placed in service and the asset's estimated residual value. Residual value is the amount the company expects to receive for the asset at the end of its service life.

References

Multiple Choice	Learning Objective: 11-01 Explain the concept of cost allocation as it pertains to property, plant, and equipment and intangible assets.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

3. Award: **0.58 points**

The method that does *not* necessarily produce a declining or constant pattern of depreciation over an asset's service life is:

- The double-declining-balance method.
- The straight-line method.
- → The units-of-production method.
- All of these answer choices produce a declining pattern.

The units-of-production depreciation method is based on actual usage of the asset, which may or may not have a declining or constant pattern.

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

4. Award: **0.58 points**

A delivery van that cost $40,000 has an expected service life of eight years and a residual value of $4,000. Depreciation expense for the *second* year of the asset's life using the straight-line method is:

- → $4,500
- $7,000
- $8,000
- All of these answer choices are incorrect.

$4,500 = ($40,000 − $4,000) ÷ 8

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

5. Award: **0.58 points**

A delivery van that cost $40,000 has an expected service life of eight years and a residual value of $4,000. Depreciation expense for the *second* year of the asset's life using the double-declining-balance method is:

- → $7,500
- $6,750
- $4,500
- All of these answer choices are incorrect.

$7,500 = [$40,000 − (2 ÷ 8 × $40,000)] × 2 ÷ 8

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

6. Award: **0.58 points**

A delivery van that cost $40,000 has an expected service life of 180,000 miles and a residual value of $4,000. The van was driven 24,000 miles in the first year and 36,000 miles in the second year. Accumulated depreciation by the end of the *second* year of the asset's life using the units-of-production method is:

- $4,800
- → $12,000
- $7,200
- All of these answer choices are incorrect.

Depreciation per mile = ($40,000 − $4,000) ÷ 180,000 miles = $0.20 Per mile.
Accumulated depreciation = (24,000 + 36,000) × $0.20 = $12,000.

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

7. Award: **0.58 points**

A machine is purchased on September 30, Year 1, for $60,000. Useful life is estimated at four years and no residual value is anticipated. The straight-line depreciation method is used. The company's fiscal year ends on December 31. Depreciation expense for Year 1 should be:

- → $3,750.
- $11,250.
- $30,000.
- $6,000.

$3,750 = ($60,000 ÷ 4 years) × $\frac{3}{12}$ partial year

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

8. Award: **0.58 points**

A machine is purchased on September 30, Year 1, for $60,000. Useful life is estimated at four years and no residual value is anticipated. The double-declining-balance depreciation method is used. Depreciation expense for Year 2 should be:

- $15,000.
- $30,000.
- → $26,250.
- All of the other answer choices are incorrect.

Double-declining-balance rate = $\frac{2}{4}$ = 50%

Year 1 depreciation: $60,000 × 50% × $\frac{3}{12}$ =	$ 7,500
Year 2 depreciation: ($60,000 − $7,500) × 50% =	$ 26,250

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

9. Award: **0.58 points**

When a company reports a loss on the sale of a depreciable asset, which of the following is always true?

- The company sold the asset for less than fair value.
- The company sold the asset before the useful life was over.
- → The company sold the asset for less than book value.
- The company sold the asset for less than accumulated depreciation.

The gain or loss on the sale of an asset is equal to consideration received minus the book value of the asset sold. When that book value is less than the consideration received, a loss is recorded.

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

10. Award: **0.58 points**

A company purchased a commercial truck for $48,000 and uses the straight-line depreciation method. The truck has a useful life of eight years and an estimated residual value of $8,000. After three years, the company sold the truck for $30,000. What amount of gain or loss should the company record at the time of the sale?

- Gain $5,000
- → Loss $3,000
- Gain $22,000
- Loss $18,000

($48,000 − $8,000) ÷ 8 = depreciation of $5,000 per year. After three years, the book value would be [$48,000 − ($5,000 × 3 years)] = $33,000. The truck was sold for $30,000, so the company should record a loss of $3,000.

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

11. Award: **0.58 points**

The Cromwell Company sold equipment for $35,000. The equipment, which originally cost $120,000 and had an estimated useful life of 10 years and $20,000 residual value, was depreciated for four years using the straight-line method. Cromwell should report the following on its income statement in the year of sale:

- → A $45,000 loss.
- A $45,000 gain.
- A $25,000 gain.
- All of these answer choices are incorrect.

Book value at disposal date: $80,000 = [$120,000 − (4 × ($120,000 − $20,000) ÷ 10)].
Asset sold for $35,000. $35,000 − 80,000 = $45,000 loss.

References

Multiple Choice	Learning Objective: 11-02 Determine periodic depreciation using both time-based and activity-based methods and account for dispositions.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

12. Award: **0.58 points**

Felix Mining acquired a copper mine at a total cost of $3,000,000. The mine is expected to produce 6,000,000 tons of copper over its five-year useful life and have no residual value. During the first year of operations, 750,000 tons of copper was extracted. Depletion for the first year should be:

- $600,000
- → $375,000
- $1,500,000
- All of these answer choices are incorrect.

750,000 ÷ 6,000,000 = 0.125 depletion rate. $3,000,000 × 0.125 = $375,000

References

Multiple Choice	Learning Objective: 11-03 Calculate the periodic depletion of a natural resource.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

13. Award: **0.58 points**

During the year, a software company incurred development costs of $2,000,000 related to a new software project. Of this amount, $400,000 was incurred after technological feasibility was achieved. The project was completed in the middle of the year and the product was available for release to customers. Revenues from the sale of the new software for the year were $500,000 and the company anticipated future additional revenues of $4,500,000. The economic life of the software is estimated at four years. What is amortization for the year?

- → $50,000
- $40,000
- $20,000
- $100,000

Costs incurred after technological feasibility but before the software is available for general release to customers are capitalized as an intangible asset. This means the capitalized amount is $400,000. Amortization for the year is the greater of the percentage-of-revenue method or the straight-line method. The percentage-of-revenue method is $400,000 × $500,000 ÷ ($500,000 + $4,500,000) = $40,000. The straight-line method is ($400,000 ÷ 4) × 1 ÷ 2 = $50,000. Therefore, amortization for the year is $50,000.

References

Multiple Choice	Learning Objective: 11-04 Calculate the periodic amortization of an intangible asset.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

14. Award: **0.58 points**

On January 1, Year 1, the Holloran Corporation purchased a machine at a cost of $55,000. The machine was expected to have a service life of 10 years and a $5,000 residual value. The straight-line depreciation method was used. In Year 3 the estimate of residual value was revised from $5,000 to zero. Depreciation for Year 3 should be:

- $5,000.
- → $5,625.
- $4,500.
- $5,500.

Initial straight-line depreciation is $5,000 per year = ($55,000 − 5,000) ÷ 10 years. Revised depreciation after two years is $5,625 per year = [$55,000 − (2 years × $5,000)] ÷ 8 years.

References

Multiple Choice	Learning Objective: 11-05 Explain the appropriate accounting treatment required when a change is made in the service life or residual value of property, plant, and equipment and intangible assets.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

15. Award: **0.58 points**

On January 1, Year 1, the Holloran Corporation purchased a machine at a cost of $55,000. The machine was expected to have a service life of 10 years and a $5,000 residual value. The straight-line depreciation method was used. In Year 3, the company switched to the double-declining-balance depreciation method. Depreciation for Year 3 should be:

- $10,000.
- $8,500.
- $12,750.
- → $11,250.

Initial straight-line depreciation is $5,000 per year = ($55,000 − 5,000) ÷ 10 years. Revised depreciation after two years is [$55,000 − (2 years × $5,000)] × $\frac{2}{8}$. Revised depreciation is calculated based on 8 years of remaining service life.

References

Multiple Choice	Learning Objective: 11-06 Explain the appropriate accounting treatment required when a change in depreciation, amortization, or depletion method is made.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

16. Award: **0.58 points**

Which of the following types of subsequent expenditures is *not* normally capitalized?

- Additions.
- Rearrangements.
- Improvements.
- → Repairs and maintenance.

Repairs and maintenance expenditures do not increase future benefits derived from the asset and therefore are expensed in the period incurred.

References

Multiple Choice	Learning Objective: 11-09 Discuss the accounting treatment of repairs and maintenance, additions, improvements, and rearrangements to property, plant, and equipment and intangible assets.

Loading [MathJax]/jax/output/HTML-CSS/jax.js

17. Award: **0.72 points**

A company made an ordinary repair to a delivery truck at a cost of $1,500. The company's accountant debited the asset account, Equipment. Was this treatment an error, and if so, what will be the effect on the financial statements?

- Yes, the error understated net income.
- No, the repair was accounted for correctly.
- Yes, in the years following, net income will be overstated.
- → Yes, the error overstated assets and net income.

Repairs and maintenance expenditures do not increase future benefits derived from the asset and therefore are expensed in the period incurred.

References

Multiple Choice	Learning Objective: 11-09 Discuss the accounting treatment of repairs and maintenance, additions, improvements, and rearrangements to property, plant, and equipment and intangible assets.

Loading [MathJax]/jax/output/HTML-CSS/jax.js